

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS, LLC, *et al.*,
RESPONDENTS.

**RESPONDENT OMNI LOGISTICS, LLC'S AND RESPONDENT EPIC
FREIGHT SOLUTIONS LLC'S JOINT RESPONSE TO COMPLAINANT'S
OPENING BRIEF, PROPOSED FINDINGS OF FACT, RESPONSES TO
COMPLAINANT'S PROPOSED FINDINGS OF FACT, AND APPENDIX**

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Respondent Omni Logistics, LLC (“Omni”) and Respondent Epic Freight Solutions LLC (“Epic”) (collectively, “Respondents”), through counsel, hereby submit their joint response brief, proposed findings of fact (“RPFF”), responses to Complainant’s proposed findings of fact (“CPFF”), and appendix (“RApp”).

I. INTRODUCTION AND SUMMARY OF ARGUMENT

Complainant TPG Pressure, Inc. (“TPG”) seeks to recover hundreds of thousands of dollars of lawful charges, some of which it paid (and some of which remains unpaid) to Respondents over a nearly two-year period in connection with nearly a thousand shipments. TPG’s efforts utterly fail for several key reasons.

First, in rote and conclusory fashion, TPG repeatedly asserts in its Opening Brief and proposed findings of fact that “Respondents failed to provide supporting documentation for these charges to TPG” as if that formulaic incantation is sufficient to satisfy TPG’s burdens of proof and persuasion. *See generally*, CPFF, Ex. A. However, TPG’s assertion is simply false with respect to the invoices and shipments at issue here. Moreover, even if TPG’s assertions were true, Respondents’ alleged conduct does not amount to a violation of the Shipping Act. Among other things, the Shipping Act did not set forth a requirement that a billing party communicate demurrage charges in a particular manner prior to the enactment of OSRA-22.

Second, TPG seeks a sweeping reparations award that would require Respondents to reimburse TPG for nearly every dime of demurrage, storage, and chassis charges TPG paid (or has not paid) to Respondents over a two-year period. Such an award is not supported by the record or by Commission precedent. Among the many deficiencies in TPG’s Opening Brief and proposed findings of fact, perhaps the most glaring omission is that TPG makes no effort to establish the necessary elements of *proximate cause* and *damages* with reasonable certainty. Both the Shipping Act and Commission precedent demand that a complainant show how a respondent’s act or

omission proximately caused the complainant's alleged damages. TPG does not even *attempt* to explain how Respondents' conduct proximately caused its supposed injury, let alone demonstrate its claimed damages with reasonable certainty.

Third, TPG does not bother to identify which invoices it claims reflect its supposed damages. Instead, TPG summarily indicates that "the invoices that are the subject of this action are identified in the Shipment Chart filed" as an exhibit to TPG's proposed findings of fact (CAApp11020). CPFF ¶ 144. Yet, the "Shipment Chart"—which itself is wholly unauthenticated and is inadmissible—includes certain invoices that TPG *excluded* in its separate "Damages Chart" submitted with its Opening Brief. TPG does not explain the significance of its "Damages Chart," or the distinction between it and TPG's Shipment Chart, leaving Respondents (and the Presiding Officer) to guess as to what specific invoices and shipments TPG asserts are those that proximately caused its claimed damages.¹ The lack of clarity in TPG's Opening Brief and accompanying documents follows a similar lack of clarity exhibited by TPG during discovery. In its written discovery responses, for example, TPG simply could not (or would not) identify which invoices it claimed contained illegal charges. Likewise, during the deposition of TPG's corporate representative, TPG was unable to identify the amount of its claimed damages or explain how those damages were calculated.

Finally, TPG's Opening Brief is chock full of vague, unsupported assertions—both factual and legal—including mischaracterized and out-of-context (and even unattributed) quotations, without citation to TPG's proposed findings of fact (or with citations to proposed findings of facts

¹ TPG offers no foundation for its two charts. Neither Respondents nor the Presiding Officer can discern from TPG's submission how these documents were created, from what primary sources they draw upon, who created them, when they were created, or other facts necessary to establish the veracity or reliability of their contents. TPG simply presents its "Shipment Chart" as if it is self-evidently true and accurate. As a result, these charts constitute nothing more than assertions of TPG's counsel rather than as even marginally reliable, let alone persuasive, evidence upon which the Presiding Officer can base a reasoned decision. This error alone dooms TPG's efforts to seek a specific dollar amount of reparations.

that can in no way be interpreted to support the stated propositions), and legal propositions without citation to, or support in, any actual law. The Presiding Officer should reject these unsupported assertions. TPG has the burden of proof, and its blanket assertions are wholly insufficient to carry that burden. Particularly illustrative of this failure is Section E of TPG's Opening Brief, in which TPG offers a two-sentence recitation of the legal standards for the element of proximate cause, followed by a one-sentence, unsupported assertion that "[Respondents'] practices . . . caused TPG's damages[.]" (Opening Brief at 26.) This weak showing is fatal to TPG's Section 41102(c) claim.

II. RESPONDENTS' RESPONSES TO TPG'S PROPOSED FINDINGS OF FACT

Respondents' response to TPG's proposed findings of fact are submitted herewith as **Exhibit A** and incorporated fully herein by reference.

III. RESPONDENTS' PROPOSED FINDINGS OF FACT

Respondents' proposed findings of fact are submitted herewith as **Exhibit B** and incorporated fully herein by reference.

IV. LAW AND ARGUMENT

A. LEGAL STANDARD: TPG Has the Burden of Proof for Each of its Claims, and Must Prove its Damages with Reasonable Certainty.

TPG fundamentally misses the mark that is required to satisfy its burden of proof and its burden of persuasion. A complainant asserting a claim under Section 41102(c) bears the burden of persuading the Commission that a respondent's practice is unjust or unreasonable by a preponderance of the evidence. *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 765 (FMC 1999)). Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a

party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d). *See also Steadman v. SEC*, 450 U.S. 91, 102 (1981).

“The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005); *see also* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”) “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Director, Office of Workers Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). Therefore, the Presiding Officer cannot, as TPG brazenly requests, construe “any uncertainty or gaps in the record . . . against Respondents[.]” (Opening Brief at 31.) TPG must prove any violations and its damages with reasonable certainty, and because TPG—not Respondents—bears that burden, any “uncertainty or gaps in the record” must be construed against TPG.

Further, a party seeking reparations under the Shipping Act has the burden of proving entitlement to reparations. *See James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003). “As the Federal Maritime Board explained long ago: (a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *Id.* In other words, even if the Presiding Officer were to find that a complainant establishes a *prima facie* violation of Section 41102(c), that finding alone does not entitle the complainant to damages. *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 605 (ALJ 2014) (holding that establishing a Shipping Act violation alone

does not justify reparations and finding that complainants must also show that they sustained a pecuniary loss as a result of the unlawful act).

While Section 10 of OSRA 2022 “shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier,” Docket No. 21-16, Order Aff’g Denial of Joint Settlement Mot., at 8 (Dec. 15, 2022), OSRA 2022 is inapplicable to the vast majority of shipments and invoices at issue in this case, which predate its enactment on June 16, 2022. *See* Docket No. 22-31, *Order on Motion to Amend Complaint and Motion to Dismiss* (February 24, 2023) (“Sections 41102(d), 41104(a)(14), and 41104(a)(15) were created by OSRA and may only apply to invoices issued after June 16, 2022.”). Moreover, as it pertains to the small number of invoices that were issued after the effective date of OSRA 2022, a non-vessel operating common carrier (“NVOCC”) is insulated from liability by the “safe harbor” codified in 46 U.S.C. § 41104(e) when it passes through charges assessed by vessel operating common carriers (“VOCCs”) or marine terminal operators (“MTOs”) as is the case here. As set forth below, TPG utterly fails to meet its burden of proof and persuasion in establishing any alleged Shipping Act violations on the part of Respondents.

B. Respondents did not Violate Section 41102(c) Because Respondents’ Practices were Reasonable and in Accordance with Industry Standards.

TPG’s primary complaint against Respondents, to which it dedicates a large portion of its Opening Brief, is that Respondents supposedly failed to establish just and reasonable practices in connection with handling TPG’s freight in violation of 46 U.S.C. § 41102(c). TPG asserts that four purported “practices” in particular were unjust or unreasonable:

- (1) charging “TPG unpublished markups and unreasonable charges with no support;”
- (2) failing “to provide timely information concerning demurrage charges;”
- (3) failing “to prevent or mitigate unnecessary charges;” and

- (4) using “coercive collection practice.”

Under the FMC’s 2018 Interpretive Rule on Unjust and Unreasonable Practices (“Interpretive Rule,”) 46 C.F.R. § 545.4, a complainant must prove four elements to establish a violation of 46 U.S.C. § 41102(c), and also a fifth element if it seeks an award of reparations. In particular, to sustain a claim under 46 U.S.C. § 41102(c), a complainant must prove:

- (a) that respondent is a common carrier, marine terminal operator, or ocean transportation intermediary under the Shipping Act;
- (b) that the claimed acts or omissions of respondent are occurring on a normal, customary, and continuous basis;
- (c) that the practice or regulation is connected with receiving, handling, storing, or delivering property; and
- (d) that the practice or regulation is unjust or unreasonable.

In order to be considered reasonable, a practice must be “otherwise lawful but not excessive and...fit and appropriate to the end in view.” *Distribution Services, Ltd. v. Trans-Pacific Freight Conference of Japan*, 24 S.R.R.714 at 721-22 (FMC 1988). Importantly, to obtain reparations for any such violation, a complainant must further demonstrate that the challenged practice or regulation is the **proximate cause** of the claimed loss. (Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (December 17, 2018)). The Presiding Officer should reject the assertions contained in TPG’s Opening Brief for at least one the following eight reasons.

1. Epic was the Respondent that Performed the Services at Issue in this Dispute.

As a threshold matter, the Presiding Officer should identify which of the two Respondents performed the services at issue. Despite Omni’s acquisition of Epic in April of 2021, Omni and Epic remain separate entities and Epic’s operations were not fully integrated with Omni’s business until April 2023. (Manzanarez Tr. at 13:18-23 (CAApp010212).) The acquisition was structured with an earnout period, during which Epic had to “operate as an entity without additional resources

[from Omni]” until Epic satisfied certain financial criteria. (*Id.* at 35:3-6 (CAApp010218).) For example, not until the two entities were fully integrated did Epic “get access to [Omni’s] . . . operating systems.” (Ikemoto Tr. at 12:17-22 (CAApp010292).) Before the integration, the decision-making hierarchy at Epic remained identical to what it was prior to being acquired by Omni. (Manzanarez Tr. at 36:9-11 (CAApp010218).) So, until April 2023, “[Epic’s] structure internally and [its] responsibilities” did not change; “everything was business as usual, and [Epic] still continued to operate as Epic.” (*Id.* at 36:14-19 (CAApp010218).) Epic maintained a separate transportation management system (“TMS”) for tracking shipments and creating invoices, as well as separate profit and loss statements during the earnout period. (Ikemoto Tr. at 18:12-14 (CAApp010294).) This is relevant because prior to the integration of the two entities, Epic was still “operating as Epic to a lot of its customers and clients.” (*Id.* at 12:24-25 (CAApp010292).) During that period, Omni merely performed back-office services, including the issuance of invoices for Epic’s services on behalf of Epic. (Respondents’ Responses to TPG’s Interrogatory No. 15 (CAApp010912).)

Accordingly, although Omni is a licensed NVOCC, its status as an NVOCC is irrelevant to this dispute because Omni did not perform any services subject to the Commission’s jurisdiction. Omni did not act in its capacity as an NVOCC with respect to *any* of TPG’s shipments. TPG’s assertion that “Omni’s terms and conditions applied to all business between Omni and [TPG]” after April 2, 2021 (CPFF ¶ 32) is without merit. As demonstrated above, that assertion is contrary to the terms of the transaction between Epic and Omni, and contrary to the evidence in the record.

2. The Provisions of Epic’s Tariff and Epic’s Terms and Conditions Apply to TPG’s Shipments and Obligate TPG to Pay Additional Charges Above the Amount of Freight Charges.

Epic’s tariff contains industry standard terms that clearly establish that any additional charges will be “for the account of the cargo” or otherwise be borne by the cargo interest—*i.e.*, TPG.

First, Epic’s tariff Rule 23 clearly imposes on TPG the obligation to pay demurrage charges assessed by a common carrier or a marine terminal operator. It provides:

[Epic] does not operate terminals at origin or destination. Except as otherwise provided in tariff rate items, **all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges**, whose vessel will be clearly identified on bills of lading.

Epic tariff, Rule 23 (CApp010863) (emphasis added). *Second*, Epic’s tariff Rule 21 clearly obligates TPG to pay other charges, including detention, for use of a VOCC’s equipment:

[Epic] does not own or lease equipment. When equipment is provided to shippers and/or consignees by Vessel Operating Common Carriers (VOCC), the VOCC, either directly or via the carrier [Epic], provisions as published by the VOCC in its FMC tariff, **including detention charges, will be for the account of the cargo**.

Epic tariff, Rule 21 (CApp010861) (emphasis added). *Third*, Epic’s tariff Rule 2 clearly establishes that all expenses incurred beyond the destination port or terminal are TPG’s responsibility:

Tolls, Wharfage, Cost of Landing, **and all other expenses beyond the port terminal area are for account of Owner**, Shipper, Or Consignee of the cargo and all such expenses levied in the first instance against [Epic] will be billed in an equal amount to the Owner, Shipper, or Consignee of the Cargo.

Epic’s tariff, Rule 2 (CApp010789) (emphasis added). Rule 2 also provides that:

[A]t shipper’s request, [Epic] will arrange for inland transportation as shipper’s agent. **All associated costs will be for the account of the cargo**.

Id. (CApp010786) (emphasis added). **Fourth**, relevant to TPG’s assertion that Epic supposedly held TPG’s containers as “ransom” (*see infra*, pp. 16-20), Epic’s tariff provides, in the terms and conditions of Epic’s bill of lading, that:

[Epic] shall have a lien on any and all property (and documents relating thereto) of Merchant in its actual or constructive possession, custody or control or en route, for all claims for charges, expenses or advances incurred by [Epic] in connection with this shipment, or any previous shipment, or Merchant, or both[.]

Epic’s tariff Rule 8-020, Bill of Lading, Item 23 (CApp010842-43).

Epic’s Terms and Conditions reiterate, emphasize, and supplement many of the provisions of Epic’s tariff. For example, Epic’s Terms and Conditions, which were incorporated by reference into each of Epic’s quotes to TPG, provide that:

The class of persons that make up the definition of “Customer” shall, where applicable, be jointly and severally liable to [Epic] for payment of all freight, demurrage, detention, and Charges including, without limitation, court costs, expenses and attorneys’ fees [Epic] incurs in collecting any sums due.

Epic’s Terms and Conditions, Section 12(E) FMC-C00046874 (Rapp356). Likewise, Epic’s Terms and Conditions grant it lien rights with respect to its customers’ cargo:

[Epic] shall have a general and continuing lien on the Goods and on any property of the Customer coming into [Epic’s] actual or constructive possession or control as to any unpaid Charges including, without limitation, for monies owed to [Epic] with regard to the shipment on which [Epic] is claiming the lien, a prior shipment, or both, including, without limitation, freightage, dead freight, demurrage, detention, and for any expenses that [EPIC] incurs for storage, security . . . for fines, dues, tolls, or commissions that [Epic] has paid on behalf of the Goods. *** The failure to pay any Charges may result in a lien on a future shipment(s), including the cost of storage [.]

Id. at Section 13(a) (Rapp356). TPG had no reason to believe that Epic’s Terms and Conditions did not apply to its shipments. (RPFF ¶¶ 23.)

In short, by procuring transportation service from Epic (CPFF ¶¶ 23-25), TPG voluntarily and unequivocally agreed to pay Epic for detention, demurrage, and other charges beyond the

amount of freight charges and, moreover, consented to a maritime lien on the tendered cargo.² TPG cannot, on the one hand, argue that Epic is liable for charging “markups” not published in Epic’s tariff and, on the other hand, seek to avoid the provisions of Epic’s tariff that are binding on TPG (and fatal to TPG’s claims).

3. Respondents’ Alleged “Markups” were not Unjust or Unreasonable Because Respondents Informed TPG of the “Markups” and TPG Agreed to Pay Them.

Respondents dispute the characterization of administrative fees assessed to TPG as a “markup.” Respondents³ first instituted a 5% “finance charge” or “administrative fee” on all pass-through charges that they incurred on TPG’s behalf in January 2022. (RPFF ¶ 89.) The administrative fee became necessary because, throughout 2021 and 2022, Respondents advanced hundreds of thousands of dollars to VOCCs, MTOs, and other third parties on TPG’s behalf. (*Id.* at ¶ 90.) Respondents’ could no longer sustain the crippling effect of TPG’s failure to reimburse them timely for the substantial costs paid on TPG’s behalf. Respondents informed TPG of this administrative fee, and TPG agreed to pay it. (*Id.* at ¶ 92; EPIC_0044271 (Rapp261).)

TPG’s statement in its Opening Brief that “[Respondents] needed to provide information about the markups to TPG and systematically failed to do so” (Opening Brief at 22), therefore, is simply not accurate. It is contradicted by TPG’s General Manager’s very own statement in a March 15, 2022 email. (EPIC_0030667 (Rapp225) (“You and I discussed starting to add 5%

² Even in the Commission’s recently published final rule on “Demurrage and Detention Billing Requirements” (which is not yet in effect), the Commission recognizes that a properly issued invoice is issued by billing party to “the person for whose account the billing party provided ocean transportation or storage of cargo and who contracted with the billing party for the ocean transportation or storage of cargo” (emphasis added).

³ As noted above, Respondents dispute that Omni operated as an NVOCC with respect to TPG or actually charged TPG any amounts at all. Nevertheless, as TPG maintains that Omni did in fact operate as a NVOCC and imposed certain charges in its capacity as an NVOCC, Respondents sometimes use the collective term “Respondents” in this brief to address allegations made against both Epic and Omni. Respondents hope that, by doing so, they simplify the Presiding Officer’s review of this matter. However, the use of the term “Respondents” is **not** intended to constitute a concession on the part of either Epic or Omni that Omni actually imposed any charges whatsoever or that Omni engaged in any other alleged conduct that TPG claims is wrongful.

admin fee for pass through charges.”). Respondents did provide TPG with information about the 5% administrative fee on pass through charges, and reaffirmed that practice to TPG many times. (RPFF ¶ 94.) It is TPG who is responsible for any failure to communicate this agreement to personnel in its accounts payable department. Moreover, imposition of the agreed-upon administrative fee did not begin until 2022, near the end of the parties’ relationship. Thus, the administrative fee did not apply to many of the invoices at issue here. For example, the invoices containing demurrage charges in rows 132-161 of TPG’s “Shipment Chart” are plainly for the identical amounts Respondents paid – a simple pass through charge. (CX Vol. VII Capp011020.)

Other charges, which TPG appears to characterize as a “markup,” included credit card processing fees. Respondents were required to pay VOCCs and MTOs by credit card, and those vendors assessed a credit card processing fee of 3% of the total amount paid. (RPFF ¶¶ 96-97.) In fact, paying by credit card was not only required, but it was also the most effective way to secure the prompt release of TPG’s containers and avoid the accrual of any additional charges. Further, TPG’s suggestion that “[Respondents] admitted in depositions that they never applied a consistent markup” (TPG Opening Brief at 22) is incorrect. The administrative fee was always 5% (once Epic began to charge it). (RPFF ¶¶ 89-94.) None of the cited deposition testimony in TPG’s proposed findings of facts at ¶ 52 supports TPG’s assertion to the contrary.

The Presiding Officer recently held, in a similar dispute, that an “admin fee” and “finance charge” was not unreasonable where it was “clearly disclosed” by “email notice.” *Bakerly v. Seafrigo*, FMC Docket No. 22-17, Initial Decision (Jan. 4, 2024). That is precisely the case here. TPG certainly had notice of Respondents’ administrative fee.

4. Respondents did not Unreasonably withhold or Fail to Provide Supporting Documents to TPG, and Respondents had no Obligation to Communicate Demurrage Charges in any Particular Manner.

TPG seeks to impose a requirement on Respondents that was absent from the Shipping Act prior to the enactment of OSRA 2022. It claims that Respondents violation Section 41102(c) by failing to provide TPG with undescribed and undefined “supporting documents.” (Opening Brief at 23.) Under TPG’s interpretation of this extra-statutory requirement, it has discretion to decide whether “supporting documents” are sufficient to justify payment for Respondents’ service or for reimbursement for the substantial pass-through costs advanced on TPG’s behalf. But that is not the law. As the Presiding Officer recently noted, the “**case law does not support [the] position that pass-through charges must always include the underlying ocean carrier/marine terminal invoices or that failure to include such invoices justifies non-payment of the charges.**” *Bakerly*, FMC Docket No. 22-17, Initial Decision at 57 (Jan. 3, 2024) (emphasis added). Indeed, “[t]he rules do not specify how demurrage charges should be communicated.” *Id.* Accordingly, “[f]ailure to communicate the charges in a manner preferred by a shipper, without more, would not justify stopping payment for services rendered, particularly where the cost was clearly incurred.” *Id.*

Here, the evidence demonstrates that Respondents *did*, in fact, regularly provide back-up documentation when it was available and made a good-faith effort to warn TPG of the potential to incur demurrage charges. RPFF ¶ 58. With each invoice, Respondents provided TPG with in-gate and out-gate tickets demonstrating the date the container left the terminal and was returned, proof of payment to marine terminals and ocean carriers, bills of lading, and other shipping documents. (RPFF ¶¶ 51-57.) Moreover, TPG does not dispute that “Respondents submitted credit card slips purportedly demonstrating that they paid demurrage charges on behalf of TPG.” (Opening Brief at 31.) Respondents provided credit card payment receipts precisely because they

did not receive invoices from ocean carriers or marine terminals. RPF 54-55. Respondents obviously had no incentive to pay expenses out of pocket if they were not legitimately owed.

TPG cites *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969) for the proposition that “substantial charges must be documented with proof of their propriety.” (Opening Brief at 23.) But that statement from *C.H. Leavell* is mere dicta. *C.H. Leavell* addressed the reasonableness, under the Shipping Act, of a common carrier’s additional surcharge levied against the cargo interest due to unforeseen additional time on the water resulting from events outside of the carrier’s control. *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76 (FMC 1969). The carrier did not provide an invoice to its customer for every aspect of the surcharge. *Id.* The Commission merely examined the respondent’s showing of “reasonableness” of the surcharges in *C.H. Leavell*, not any detailed specification of “proof,” such as invoices. *Id.* at 90. The Commission explained that “respondent’s showing of increased voyage distance and duration is sufficient to overcome any presumption of unreasonableness; and there is no basis for a finding that the surcharges assessed were unreasonable, in the complete absence of any proof of unreasonableness.” *Id.* In short, the complainant’s argument, was that the carrier should be required to provide more detailed documentation supporting the surcharge, but the Commission saw “no reason why [respondent] should come forward with additional dollars and cents justification of the level of the surcharges.” *Id.* (Also holding that “the fact that competitive carriers ... did not assess emergency surcharges is immaterial.”). Thus, *C.H. Leavell* supports Respondents’ position, not TPG’s.

TPG also relies on *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 622-623 (FMC 2016) for the proposition that “an NVOCC is entitled to collect pass-through assessorial charges without any markup when they are substantiated with the underlying invoices.”

(Opening Brief at 23.) In *Gruenberg*, however, the Commission was clear that invoices are “not the only indication of whether the charges were reasonable.” *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, 34 S.R.R. 613, 623 (FMC 2016). The Commission explained that an NVOCC “may recover reasonable charges it incurred without providing evidence that it incurred these charges.” *Id.* In fact, the Commission remanded the *Gruenberg-Reisner* decision:

Therefore, we remand the issue of whether Respondent’s assessment of these charges was a just and reasonable practice. On remand, we recommend that the SCO request the invoices again. **The invoices, however, are not the only indication of whether the charges were reasonable.** If the NVOCC is unable to produce the invoices, **we recommend that the SCO look at other factors such as whether the charges were similar to those assessed by other NVOCCs.**

Id. (emphasis added). Accordingly, TPG’s attempt to paint Respondents’ invoices as the sole measure of the reasonableness of Respondents’ practices falls flat.

So, again, TPG has plainly failed to meet its burdens of proof and persuasion despite its repeated (and empty) mantra of “no supporting documentation.”⁴

5. TPG Presents no Evidence that Respondents Failed to Prevent or Mitigate Unnecessary Charges.

TPG argues that charges were preventable, but the Opening Brief fails to provide specific examples or evidence of how Respondents could have prevented any charges. TPG simply repeats general assertions, without any factual support, that some of the charges TPG paid (or has not paid) were “avoidable” or could have been “mitigated.” (Opening Brief at 19.) To the contrary, the only

⁴ Notably, when questioned under oath, TPG acknowledged that what it *really* wanted—rather than unidentified “supporting documents” was instead a “story” from Respondents about the basis for the charges. RPFF ¶ 49. TPG’s request for a better “story,” however, has the same fatal flaw as TPG’s request for better supporting documentation. In either instance, TPG unilaterally decides what constitutes an acceptable “story” or acceptable “documentation.” Not surprisingly, TPG is never satisfied that any explanation is an acceptable “story.” TPG’s apparent “test” for determining what is adequate or satisfactory is utterly amorphous and entirely subjective. The Presiding Officer should not accept a standard or test that, by its nature, offers no guidance to Respondents or others in the marketplace.

evidence in the record of “preventable” charges were unequivocally caused by TPG and its customer in connection with the “Ship Canal” project. *See* RPF 67-88. Specifically, TPG’s customer refused to accept delivery of five containers for a period of over five months after they became available, and TPG was unwilling or unable to make alternative arrangements for the cargo. *Id.* As a result, those containers incurred daily storage charges and chassis fees, totaling \$113,540, as they were stored in a yard outside of the terminal, despite numerous alternative solutions being proposed by Respondents. *Id.* TPG was aware of the daily accrual of these fees. *Id.* As TPG’s corporate representative conceded, “this was an issue that we had on our job site. It **had nothing to do with Epic or Omni.**” *Id.* at ¶ 66 (emphasis added); *see also id.* at ¶ 67 (TPG’s project manager conceded that “[Respondents] are not responsible for customer rejection or customer failure to unload.”). Despite this admission, TPG quite remarkably includes these charges in its request for reparations.

TPG attempts to demonstrate that certain charges could have been avoided with an anecdotal reference to another service provider pulling some containers more quickly than Respondents were able to. (Opening Brief at 19.) Even if true,⁵ this would not amount to an unreasonable practice in violation of Section 41102(c). Indeed, the Presiding Officer’s recent decision in *Bakerly* rejected the same argument. In *Bakerly*, the complainant argued that it “hired another NVOCC . . . and assert[ed] that the other NVOCC performed better with no demurrage and detention charges during certain time periods.” *Bakerly* at 62. The Presiding Officer noted that “even if this were the case, the fact that one practice is more efficient than another does not, without more, make the less efficient practice unreasonable.” *Id.* Accordingly, even if the Presiding Officer were to find that another NVOCC performed more efficiently than Respondents

⁵ Respondents do not concede this is true, however. (Ikemoto Tr. at 115-116 (CA010318).)

(a proposition for which TPG provides no persuasive evidence), that finding itself does not result in finding a violation of the Shipping Act.

However, making the factual finding requested by TPG would require the Presiding Office to accept one of TPG's *many* unsupported assertions. For instance, TPG cites its corporate representative's self-serving deposition testimony in support of the proposition that "other companies" avoided the same charges that TPG incurred with Respondents. But Mr. Basiri never actually compared Respondents' charges to another party performing transportation on the "same dates, same locations." (Basiri Tr. 28:12-14 (CApp010390).)⁶

In short, TPG does not offer *any* evidence that can establish that Respondents were unreasonable in their mitigation efforts.⁷ Again, TPG is operating on the erroneous presupposition that anecdotal testimony that other logistics providers imposed different charges at different times and in different markets somehow means that Respondents failed to act reasonably at any time during a nearly two-year period at issue in this case.⁸

6. Respondents did not Use Coercive Collection Practices.

TPG's "argument" that Respondents used coercive collection practices against TPG is nothing more than a poorly constructed house of cards. TPG has failed to establish that Respondents' collection practices were unjust or unreasonable, let alone that Respondents had a

⁶ Beza Basiri, TPG's General Manager, testified on behalf of TPG as its corporate representative pursuant to 46 C.F.R. § 502.143(b)(6). See Basiri Tr. (Sep. 15, 2023) at 11:1-20 (CApp010455.) Accordingly, Mr. Basiri's testimony unequivocally binds TPG.

⁷ TPG futilely attempts to smear Respondents by introducing certain unflattering but isolated excerpts from the record reflecting Respondents' internal communications about personnel issues and internal business issues. (See, e.g., CPFF ¶¶ 79, 98-99, 112-115.) But TPG wholly fails to cite to or rely on such excerpts, demonstrating that they are irrelevant to the merits.

⁸ Further, Respondents frankly went far above and beyond any reasonable duties or expectations in order to help TPG reduce TPG's costs. For instance, Respondents successfully negotiated with the owner of various containers that were part of the "Ship Canal" project to waive \$232,500 in detention charges. RPFF at ¶ 84. Even TPG itself admits that these charges did not result from any conduct on the part of Respondents. RPFF at ¶ 85. Yet, Respondents diligently and successfully negotiated to help TPG avoid these charges.

“practice” of using coercive of collection practices. TPG, again in typical conclusory fashion, merely asserts that “given that 81 containers were involved over the course of 14 days, Respondents’ coercive collection practices here constitute a normal, customary, and continuous [sic].” (Opening Brief at 20.)

First, the event described in TPG’s Opening Brief does not constitute a “practice” of Respondents that occurred on a normal, customary, or continuous basis. TPG describes a single instance—over the course of the parties’ seven-year business relationship—in which Respondents allegedly withheld TPG’s cargo in order to extract payment for services previously rendered. Under longstanding Commission precedent, “[t]he essence of a practice is uniformity. It is something habitually performed and it implies continuity . . . the usual course of conduct.” *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187 (Examiner 1964) *aff’d* 8 F.M.C. 181 (FMC 1964) (holding that six total instances charging unpublished rates was not a practice of the respondent). A single instance of “withholding” cargo does not constitute a “practice.” Rather this was simply, at most, an “occasional transaction.” *See id.* at 201. In fact, it occurred merely on a single occasion.

Second, TPG’s assertion that this alleged practice affected 81 containers is flatly contradicted by TPG’s own brief, which concedes that only “3 containers . . . were withheld.” (Opening Brief at 20.) In other words, TPG tacitly acknowledges that this alleged “practice” of Respondents had no effect on the other 78 containers that Respondents allegedly withheld. Indeed, TPG concedes that many of these shipments were “on the water,” meaning that Respondents had no means of withholding them at the time, even if Respondents wanted to do so. (Opening Brief at 19.) TPG also concedes that Respondents only “threatened to withhold” TPG’s cargo. (*Id.*)

Beyond that, TPG utterly fails to establish how the alleged “practice” caused damages (as is the case with all of TPG’s claimed damages). TPG merely argues that “3 containers worth approximately \$27,542.70 were withheld for 22 days . . . and 17 days.” (Opening Brief at 20.) For that proposition, TPG cites only to ¶ 144 of its proposed findings of fact, which, in turn, cites to TPG’s mysterious “Shipment Chart.” This evidence in no way establishes that these three containers were intentionally withheld, or how any act of Respondents caused any of TPG’s damages. Without citation to any of its proposed findings of fact or evidence in the record whatsoever, TPG asserts that each of these three containers accrued \$4,947.37 in demurrage charges and \$1,265 in chassis charges, for a total of \$18,367.10. (Opening Brief at 27.) In fact, and in direct contradiction of TPG’s bald assertion, the demurrage charges for each of those containers, containers CMAU4830227, CMAU4265316, and DRYU9980059, were paid through May 10, 2022 (Rapp179-81) (EPIC_0026753-55)), a week *before* Respondents allegedly threatened to withhold cargo on May 17, 2022 (Opening Brief at 20). And each of those containers was delivered on May 27, 2022, *before* TPG made the payments that it was allegedly coerced into making. (FMC_C00044119.) Accordingly, the demurrage and chassis charges for these three containers were not, and *could not* have been, caused by Respondents’ withholding of cargo.

Even if TPG could establish that Respondents actually withheld TPG’s cargo, rather than merely *threatened* to do so, and even if TPG could establish that this conduct was Respondents’ “practice,” this conduct would **not** be unreasonable under the Shipping Act. In *CMI Distribution, Inc. v. Service by Air, Inc.*, which TPG cites throughout its brief, the Commission reversed the ALJ’s Initial Decision which found that the respondent violated Section 41102(c) by “refusing to deliver cargo on which all transportation charges had been paid in order to coerces payment of charges due on cargo that had been delivered.” *CMI Distribution, Inc. v. Service By Air, Inc. et*

al., 3 F.M.C.2d 8, 2021 WL 9204113, at *16 (FMC 2021). Even then, despite the ALJ’s finding, the ALJ declined to award reparations because the complainant did not “clearly articulate any actual injury it suffered from the Section 41102(c) violation[.]” *Id.* So, too, is the case here. TPG has not clearly articulated any actual injury it suffered as a result of Respondents’ alleged conduct, let alone that Respondents actually withheld any cargo (rather than merely threatening to do so).

Furthermore, the Commission, reviewing the ALJ’s decision in *CMI*, “decline[d] to adopt the ALJ’s § 41102(c) analysis because it is not clear whether the conduct at issue occurred on a normal, customary, and continuous basis as required by 46 C.F.R. § 545.4(b) and because this alleged violation has no bearing on Complainant’s reparation award given the ALJ’s unchallenged finding that *CMI* did not articulate injury for a § 41102(c) violation.” *Id.* The Commission held that:

Although the evidence suggests that [respondent] withheld and delayed some shipments to collect charges based on unrelated cargo, the record is unclear about how long each container was held, when each container was released, and what charges demanded by [respondent] were related to the withheld container and what charges were related to earlier shipments, all of which are relevant to whether [respondent] engaged in a regulation or practice of holding cargo hostage.

Id. Here, although, unlike in *CMI*, the evidence does not suggest that Respondents withheld or delayed any shipments, even if it did, no violation of the Shipping Act follows. First, as discussed above, TPG tacitly acknowledges that Respondents’ conduct had no effect on 78 of the 81 containers that Respondents threatened to withhold. Second, the three containers upon which TPG attempts to establish accrued demurrage and chassis charges as a result of this conduct were, in fact, picked up from the terminal on May 10, 2022, *before* Respondents’ threatened to hold cargo. Moreover, the ALJ’s Initial Decision in *CMI* (which was reversed in any event) turned on the fact that the respondent withheld cargo for which the complainant had *already paid* all charges. *CMI Distribution, Inc.* 2021 WL 9204113 at *16. Here, TPG had not yet paid for the cargo that

Respondents threatened to withhold; indeed, TPG does not even make an argument to the contrary, nor could it.

Finally, notwithstanding the facts that (1) TPG has not established Respondent's conduct was not a "practice" and (2) TPG has failed to establish any actual injury resulting from this practice, Respondents' conduct was a perfectly valid and legal exercise of their contractual lien rights, as set forth in Epic's tariff and each of Respondents' terms and conditions. Under common law, a common carrier has a lien on cargo in its possession for freight charges payable on that cargo. *The Bird of Paradise*, 72 U.S. 545, 554 (1866) ("Ship-owners, unquestionably, as a general rule, have a lien upon the cargo for the freight, and consequently may retain the goods after the arrival of the ship at the port of destination until the payment is made..."). This rationale remains valid, having been adopted and applied by federal courts in recent years. *See, e.g., In re World Imports Ltd.*, 820 F.3d 576 (3d Cir. 2016) (lien on goods in possession of carrier for amounts due on previously released shipments valid and lawful based on agreement between the parties).

Here, Epic's tariff clearly granted Epic a lien "on any and all property . . . of [TPG] in its actual or constructive possession, custody or control or en route, for all claims for charges, expenses or advances incurred by [Epic] in connection with this shipment, **or any previous shipment**." Epic's tariff Rule 8-020, Bill of Lading, Item 23 (CApp010842-43.) Likewise, Epic's Terms and Conditions granted Epic a lien "on the Goods and on any property of the Customer coming into [Epic's] actual or constructive possession or control as to any unpaid Charges including, without limitation, for monies owed to [Epic] with regard to the shipment on which [Epic] is claiming the lien, a prior shipment, or both, including, without limitation, freightage, dead freight, demurrage, detention, and for any expenses that [Epic] incurs for storage." Epic's Terms and Conditions, Section 13(a) (Rapp358).

Finally, Respondents had legitimate concerns about TPG’s willingness and ability to pay for Respondents’ services. TPG was stretching its payments well beyond the parties’ agreed upon payment terms. (RPFF at ¶¶ 90-91.) Indeed, to this date, TPG has failed to pay Respondents \$390,336.80, the vast majority of which charges are for the cost of transportation—not only demurrage or other pass-through costs. (*Id.* at ¶¶ 98-99.) Thus, contrary to TPG’s baseless assertion that Respondents’ charges are “fraudulent and deceptive,” it is TPG who has engaged in unfair business practices by ordering services, receiving the benefit of the services, and unilaterally offsetting its perceived claim for demurrage and other charges against freight charges that are unequivocally owed.

In short, for all of the foregoing reasons, TPG’s claim regarding supposedly “coercive” collection practices fails in all respects.

7. TPG Seeks to Recover Damages arising out of Shipments over which the Commission Lacks Jurisdiction Because they did not Enter the United States through a U.S. Port.

By its plain language, Section 41102(c) applies to a “common carrier.” 46 U.S.C. § 41102(c). One of the statutory elements of a “common carrier” (the definition of which includes an NVOCC) is that it uses a vessel for transportation “**between a port in the United States** and a port in a foreign country.” 46 U.S.C. § 40102(7)(c) (emphasis added). Accordingly, shipments that “were not transported by water from a foreign port to a port in the United States . . . [are] not subject to Commission subject matter jurisdiction.” *CMI Distribution, Inc. v. Service By Air, Inc. et al*, 2019 WL 4734318, at *4 (claims dismissed because they “were not transported by water between China and the United States, but were transported by water to Vancouver, Canada, and entered the United States by train.”). The Commission’s “jurisdiction is as set out in statute, and [it] cannot, by [its] own act or omission, enlarge or divest ourselves of that statutory jurisdiction.” *American Union Transport v. River Plate & Brazil Confs.*, 5 F.M.B. 216, 224 (1957); *see also*

See Austasia Intermodal Lines, Ltd. v. FMC, 580 F.2d 642, 644 (D.C. Cir. 1978) (the Commission may not impose common carrier obligations on an entity that does not meet the statutory definition); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04 (FMC) (slip op. March 6, 2017) at 14 (recognizing that “Shipping Act jurisdiction cannot be extended beyond its plain language.”).

Moreover, “the fact that [an entity] is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c)”, or that it is subject to the Commission’s jurisdiction. *See Auction Block Co. v. City of Homer*, 33 S.R.R. 589, 2014 FMC LEXIS 16 8 (FMC 2014), *aff’d* sub nom. *Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. Appx. 347 (9th Cir. 2015). In other words, just because an entity is regulated, not every action it takes is subject to the Shipping Act. A complainant must also demonstrate a link between the respondent’s regulated status and the conduct that allegedly violates the Shipping Act. *See Auction Block*, 606 Fed. App’x. at 347-48. Indeed, a complainant bears the burden of establishing Commission jurisdiction. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc. et al.*, Docket 09-01, 2011 WL 7144008, *26 (FMC Aug. 1, 2011).

Here, TPG seeks reparations of \$112,200 in demurrage and \$3,780 in chassis charges on 31 invoices it paid to Epic for shipments that were transported from Cartagena, Colombia to South Beloit, Illinois. CPFF ¶ 89; TPG’s Appendix Vol. VII, Capp011020 (“Shipment Chart”) at rows 132-161. However, these shipments did not enter the country through a “port in the United States.” They arrived in the United States via rail from Halifax, Nova Scotia, Canada. RPFF ¶¶ 59-64. Accordingly, because these containers did not travel from a port in a foreign country to a port in the United States, the Commission patently lacks jurisdiction and cannot issue a reparations award

for any of these invoices.⁹ TPG does not provide evidence that these charges were improperly charged to TPG and, in any event, any contest to the same is necessarily outside the scope of this proceeding.

8. TPG Fails to Establish Proximate Cause or Establish its Damages with Reasonable Certainty.

Even if TPG had actually demonstrated any violations of the Shipping Act on the part of Respondents (which it has not), TPG would not be entitled to reparations because it has failed to demonstrate that Respondents' conduct was the proximate cause of its claimed damages.

A complainant bears the burden of proving that it is entitled to reparations. *Kobel v. Hapag-Lloyd A.G.*, 33 S.R.R. 594, 597 (ALJ 2014). As the Commission has explained: (a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation. *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003) (quoting *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950)). In other words, establishing a Shipping Act violation alone does not justify reparations; complainants must also show that they sustained a pecuniary loss as a result of the unlawful act. *Kobel* at 605. TPG falls woefully short of this standard.

TPG makes almost no effort to attribute any particular invoice or charge to any particular act or omission of Respondents. TPG simply ignores the requirement that it prove that these charges were the result of Respondents' allegedly unlawful conduct. In fact, not only does TPG

⁹ At the Deposition of Alex Heaton, TPG's counsel took the position that questions about "rail transportation from Halifax to Chicago" were "outside the scope [of TPG's claims]." Heaton Tr. at 85:18-23 (Rapp28). Obviously, Respondents agree with this position, but now, remarkably, TPG now backtracks and seeks to collect more than \$115,000 in reparations for these very shipments.

ignore this requirement, it invites the Presiding Officer to ignore it as well. TPG argues that “any uncertainty or gaps in the record should be construed against Respondents.” (Opening Brief at 31.) The Presiding Officer, of course, should—and must—decline this invitation to ignore Commission precedent by shifting the burden of proof to Respondents. *See supra*, pp. 3-5.

TPG baldly asserts that it is entitled to \$847,712.63 in damages. (Opening Brief at 31.) This amount apparently reflects allegedly “unreasonable charges, including markups,” and charges allegedly “caused by TPG’s[(sic] failure to avoid unnecessary charges.”¹⁰ (Opening Brief 27.) In other words, TPG appears to claim that *all* of the charges about which it complains were “unreasonable,” and that *all* of the charges could have been avoided.¹¹ Included in the amount of TPG’s total claimed damages is \$543,445.69 in demurrage charges (not just the amount of the “markups”), \$139,728.19 in storage charges (well over half of which was unequivocally not caused by Respondents, but by TPG’s Ship Canal customer), and \$161,538.75 in chassis charges. (*Id.* at 31.)

The position that TPG has chosen to take with respect to its damages is patently unreasonable for numerous reasons. **First**, as explained above, TPG does not make any effort to explain how even a dime of the demurrage charges it paid could have been avoided. Commission precedent indicates that TPG must make this showing on a shipment-by-shipment basis. For

¹⁰ TPG also tacks on an additional \$18,367.10 for “costs caused by Respondent’s improper withholding of cargo.” *Id.* at 27. As explained above, TPG utterly failed to establish that these costs accrued because Respondents withheld these containers. What’s more, however, is that this amount appears to be already accounted for in the larger figure—\$847,712.63—for “unreasonable” and “unavoidable charges.” In other words, TPG is double-counting its supposed “damages.” This is just one of many inconsistencies in TPG’s Opening Brief and proposed findings of facts.

¹¹ As just one example of why TPG’s damages position is unreasonable, note that TPG concedes \$93,335.34 of the alleged \$543,445.69 in demurrage charges “have been supported by carriers’ invoices,” apparently to TPG’s satisfaction. (Opening Brief at 30.) Yet TPG conveniently maintains that all of the “charges that are supported by carrier invoices are not reasonable and could have been avoided.” (*Id.* at 30-31.) Of course, TPG does not explain how these charges “could have been avoided.” TPG’s conspicuous effort to inflate its claimed damages is disingenuous.

instance, in *Eurousa Shipping Inc., Tober Group, Inc., and Container Innovations Inc. – Possible Violations of Shipping Act*, 31 S.R.R. 967 (ALJ 2009), the Commission’s Bureau of Enforcement argued that, under the Administrative Procedure Act, the bureau was not required to show each element of an alleged Shipping Act violation on a shipment-by-shipment basis. The ALJ rejected that argument and, relying on Commission precedent, found that a shipment-by-shipment analysis was required. 31 S.R.R. at 984.

Although *Eurousa* involved an enforcement action rather than a private complaint for reparations, the same rationale which required a shipment-by-shipment analysis in that case applies with greater force in a proceeding seeking reparations, particularly in light of the fact that a complainant is required to prove proximate causation. Other decisions support this conclusion as well. The Commission has indicated quite clearly that the reasonableness of demurrage and detention charges are to be determined on a case-by-case basis, 85 Fed. Reg. 29638, 29639 (May 18, 2020). A shipment-by-shipment analysis is the most accurate method for evaluating the fact-specific claims brought by TPG. The Commission has also discouraged parties from dealing in generalities, noting that “[f]uture proceedings would benefit from a greater focus on the **specific shipments.**” *Hapag-Lloyd, A.G.* 4 F.M.C.2d 53, 82 (emphasis added). All of the foregoing strongly support a requirement for a shipment-by-shipment analysis. Here, TPG’s alleged damages based on a blanket claim of “avoidable” charges is simply not supported by the record, and TPG makes no effort to explain, on a shipment-by-shipment basis, how any charge could have been avoided.

Second, TPG’s inclusion of chassis in its claimed damages is bizarre.¹² TPG asks the Presiding Officer to order Respondents to repay every dime TPG paid for chassis usage over a two-year period. This is justified, TPG says, because “[n]one of these charges have been supported by documentation provided by Respondents to TPG.” (Opening Brief at 31.) But that assertion is, again, disingenuous. As TPG’s own proposed findings of facts state, TPG solicited Epic for quotes particular projects, “and Epic would respond with the freight cost, pre pull cost, **chassis cost and minimum days** . . .” CPFF ¶ 23. If TPG agreed to the quoted terms and prices, it manifested its assents via a “purchase order, which listed freight rates and other rates.” *Id.* ¶ 25. Virtually every single quote Respondents provided to TPG included a per-day chassis rate (usually with a two-day minimum use fee). *See* CApp. Vol. III. Simply put, TPG agreed to pay the quoted rates for chassis. TPG always understood that it was obligated to pay for chassis used to transport its cargo to final destination. The record also demonstrates that Respondents provided TPG with in-gate and out-gate receipts so that TPG could verify the validity of chassis charges. (Ikemoto Tr. at 70:3-16 (CApp010307).) TPG’s request for a windfall now is not only unsupported by Commission precedent; it offends fundamental notions of fairness.¹³

¹² Ironically, TPG includes chassis fees among the charges that TPG deems avoidable or “unnecessary.” It is not clear to Respondents how essential equipment used to transport TPG’s cargo to a final destination, at TPG’s request, could possibly be “unnecessary” or how such charges could have been avoided. Ocean containers do not have wheels.

¹³ As previously noted, Epic’s assessment of chassis fees is also consistent with the terms of its tariff, by which TPG is bound. Epic’s tariff provides that charges for VOCC equipment, charges beyond the port or terminal, and all associated costs of inland transportation will be for the account of TPG. Epic’s tariff, Ruls 2 (CApp010786). TPG has no valid basis for its chassis claim. Further, chassis charges are expressly *excluded* from the incentive principle under the Shipping Act. 46 C.F.R. § 545.5(b) plainly states that the “incentive principle” governing demurrage and detention disputes only applies to charges for the “use of marine terminal space (e.g., land) or shipping containers.” In other words, the incentive principle does not apply to chassis. The Commission reaffirmed this in its final rule on demurrage and detention issued on February 26, 2024 (where the Commission states in its commentary that it expressly rejected the invitation to include chassis and other special equipment within the scope of the rule). 89 F.R. 14330 at 14337.

Third, storage charges are likewise for the account of TPG because such charges are “charges beyond the port or terminal” or “costs associated” with inland transportation. Epic’s tariff, Rules 2 and 3. Storage charges are for “yard storage” in a “trucker’s warehouse” or yard. (Ikemoto Tr. at 70:20-21 (CApp010307).) Storage charges accrued in circumstances in which a container was pulled from a terminal but the receiver was not yet available or ready to accept delivery (RPFF ¶ 73), or when an empty container could not be returned due to lack of appointments at the port or terminal. The Ship Canal project is a prime example. TPG’s customer refused to accept delivery of five containers when they were available, and Epic had to store them in a yard until TPG’s customer agreed to accept them. RPFF ¶¶ 67-88. TPG was aware of the daily storage (and chassis) charges accruing on these containers. *Id.* at ¶ 79. Epic paid these costs on TPG’s behalf, as it did with all storage charges, and invoiced TPG. *Id.* at ¶¶ 83-84. TPG is not entitled to a windfall with respect to storage charges.

Finally, TPG also fails to prove its damages with reasonable certainty. Under the Shipping Act, the Commission is to “direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). “Actual damages” are damages recoverable “as compensation for the actual loss or injuries sustained” due to the violation of the Shipping Act. *Cal. Shipping Line, Inc. v. Yang Ming Marine Transp. Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990). Complainants alleging Shipping Act violations must prove those damages by reasonable certainty in order to recover. *See, Rose Int’l, Inc. v. Overseas Moving Network*, 29 S.R.R. 119, 187 (FMC 2001) (“Complainant must prove with ‘competent evidence’ that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” (citing *Adair v. Penn-Nordic 36 Lines, Inc.*, 26 S.R.R. 11, 25 (ALJ 1991))).

Here, it is obvious that TPG has failed to prove damages with reasonable certainty because it has included *all* amounts paid to Respondents over a two-year period for various charge categories. This wholesale inclusion of all charges ignores that TPG has acknowledged circumstances in which it is responsible for the charges, including the charges arising out of the Ship Canal project), charges included in quotes (e.g., chassis charges), and charges paid for TPG's benefit to third parties and invoiced without markup. This is a fatal defect in TPG's case that cannot be overlooked. Further, TPG's own Opening Brief cites *CMI Distribution* for the proposition that reparations should be limited to the markups imposed by an NVOCC on a shipper. Indeed, the Commission's holding in that case is instructive:

The Commission agrees with the ALJ's decision to limit the reparations to the markups SBA imposed on CMI. Commission caselaw allows shippers to recover reparations for charges paid to NVOCCs operating without a published tariff in violation of § 41104(a) because the NVOCC has collected charges beyond its "actual disbursements." *Graniteville*, 1991 FMC LEXIS 63, at *6. **Nonetheless, a shipper in that situation has received something it wanted - "the transportation of its cargo from A to B."** *Id.* **The shipper's "actual injury" is thus "whatever it paid the NVOCC, less whatever payments were made by the NVOCC that the shipper would otherwise have had to pay."** *Id.* at *6. This calculation method is consistent with 46 U.S.C. § 41305(b), which provides that the Commission "shall direct the payment of reparations to the complainant for actual injury caused by violation of this part." **Subtracting from the reparations the pass-through charges the NVOCC paid on the shipper's behalf also prevents the shipper from unfairly receiving a windfall.** *Graniteville*, 1991 FMC LEXIS 63, *6. This approach is also consistent with the Commission's approach under the Shipping Act of 1916. *See First Int'l Dev. Corp. v. Ship's Overseas Services, Inc.*, FMC Docket No. 77-13, 23 F.M.C. 47, 53 (FMC 1980), *rev'd on other grounds, Ships' Overseas Services, Inc. v. Fed. Mar. Comm'n*, 670 F.2d 304 (D.C. Cir. 1981) (awarding complainant in un-tariffed charges case the "difference between the amount collected by the [NVOCC] and the cost of the transportation service which [complainant] received").

CMI Distribution, 2021 WL 9204113 at *17 (emphasis added). Despite citing this case for these very propositions, TPG requests an award of all of the demurrage charges it paid, not just the so-called markup.¹⁴ In short, TPG seeks a windfall.

Likewise, during its deposition, TPG was entirely unable to articulate the basis for its supposed damages. When presented with a TPG-created spreadsheet purporting to summarize TPG's damages, TPG was unable to explain what it actually demonstrated. For example, when asked to explain TPG's basis for disputing certain charges included in its damages spreadsheet, TPG's corporate representative stated that "it could be hypothetical because I don't know." (Basiri Tr. at 83:15 (CApp010404).) The following exchange is illustrative:

Q. What is the amount of TPG's claimed damages?

A. My understanding is an initial projection, I don't remember the exact dollar, but it was above a million dollars as an initial assessment.

Q. What is the amount of TPG's claimed damages today?

A. Still ongoing. I do not have a number. We are in the process of assessing that.

Q. TPG doesn't have a specific dollar amount that it is seeking to recover today; is that right?

A. Not at the moment. It's still ongoing.

(Basiri Tr. (Sep. 15) at 44: 16-25; 45: 1 (CApp010463).) TPG also could not identify which charges it paid as a result of Respondents allegedly holding cargo hostage:

Q. Which of the invoices appearing on this tab were paid as a result of Epic or Omni allegedly holding cargo hostage?

A. At this moment, I can't identify those.

¹⁴ TPG has not established the amount of its claimed damages as a result of the so-called markup. Instead, it merely lumps the "markup" in with every demurrage charge—charges that were clearly incurred. Moreover, even if TPG had established this amount, it would be wholly inequitable to award TPG the administrative fees, which TPG agreed to pay. (Declaration of Yohanse Manzanarez, ¶¶ 15-16 (Rapp3).) Moreover, the administrative fee was not a markup of ocean-carrier-originated or marine terminal-originated charges; it was simply instituted to help cover the cost of Epic's substantial payments advanced to third parties on TPG's behalf. (*Id.* at ¶ 14 (Rapp2).)

Q. You understood that you were here to testify as to TPG's claimed damages arising out of the Bay Park project, right?

A. Yes.

(*Id.* at 51:17-24 (CApp010465).) TPG also conceded that Respondents, in fact, did provide explanations about disputed charges, but that TPG found those explanations to be "inadequate." (*Id.* at 37:12-14 (CApp010461).)

TPG's corporate representative could not identify with any particularity TPG's basis for disputing its obligation to pay any of the disputed invoices. (Basiri Tr. (Sep. 15, 2023) at 53:23-25 (CApp010465).) The only basis TPG could identify was "not having proper explanation and documentation as why [charges were assessed]." (*Id.*) Under 46 C.F.R. § 502.143(b)(6), this testimony—that TPG "do[es]n't know" and that its claimed damages are "hypothetical"—is binding on TPG. It cannot now take a contrary position without any fact witness or expert to explain its damages. However, even in trying to now backtrack and provide conclusory arguments that TPG has suffered damages, it has completely failed for all of the other reasons set forth above.

Further, now, TPG relies exclusively on its "Shipment Chart" (Capp11020) to support its claimed damages. (Opening Brief at 30 ("The attached Shipping [sic] Chart PFF ¶ 144 sets forth charges invoiced by Respondents that are claimed as invoices here.").) The Shipment Chart was not produced in discovery—a process intended to avoid such last-minute surprise offensives at trial or dispositive motion. Accordingly, Respondents had never seen the Shipment Chart before TPG filed its Opening Brief and related documents. TPG does "not state whether it offers the Shipment Chart as expert opinion pursuant to Fed. R. Evid. 702, lay opinion pursuant to Fed. R. Evid. 701, or argument of counsel." *See Santa Fe Discount Cruise Parking, Inc. d/b/a Cruise Parking, et al. v. The Board of Trustees of the Galveston Wharves, et al.*, FMC Docket No. 14-06, 2015 WL 8282353, at *36 (Dec. 4, 2015). Likewise, TPG "does not identify who formulated the

analysis or [that] person’s qualification for making the analysis; therefore, the analysis does not have a sponsoring witness to lay a foundation for admission as evidence.” *Id.* In *Cruise Parking*, the ALJ noted that the “scheduling order required Complainants to designate affirmative witnesses and produce expert reports for same” by a date certain. *Id.* The ALJ further noted that, “if offered as lay opinion, Rule 201 required disclosure with Complainant’s initial disclosures, or a supplement.” *Id.* The ALJ concluded, that “in either case, if the analysis is offered as evidence, the [respondent] would have a right to depose the witness.” *Id.* Because the respondent was deprived of that opportunity in *Cruise Parking*, the ALJ concluded that **“the analysis is not offered as evidence of injury, but argument of counsel.”** *Id.* (emphasis added). Here, as in *Cruise Parking*, the Shipment Chart is nothing more than an unsupported “argument of counsel” that lacks probative value.

The Shipment Chart appears to consist of 63 columns and 902 rows of data—tens of thousands of fields of data, none of which is supported by any declaration or testimony. TPG also leaves it to Respondents’ counsel and the Presiding Officer to comb through the thousands of pages of the record to try to connect the chart to invoices or other records, and to intuitively decipher the meaning of the Shipment Chart’s fields. “Judges are not like pigs, hunting for truffles buried in briefs.” *United States v. Dunkel*, 927 F. 2d 955, 956 (7th Cir. 1991). Moreover, Respondents do not know who¹⁵ created the Shipment Chart or that person’s qualifications, let alone the methodology used as the “evidence” upon which it is supposedly based. And, of course,

¹⁵ In an earlier filing in this case, TPG represented that it had “engaged an independent auditor on August 1, 2023, to assist in a more economical and timely fashion; however, the auditor needs more time to complete the analysis.” Docket No. 22-31, Complainant’s Motion to Modify the Scheduling Order, filed October 6, 2023. Under the then-operative scheduling order, TPG’s expert reports were due on October 6, 2023. But TPG never disclosed the “independent auditor” to Respondents, either as a lay or expert witness. Indeed, TPG even obtained a two-month extension of the schedule in this case because, in part, the independent auditor needed “more time to complete the analysis.” Perhaps the independent auditor’s “analysis” was reduced to the “Shipment Chart,” but that is mere speculation (like the Shipment Chart itself), because the identity and qualifications of the independent auditor were never disclosed to Respondents (or the Presiding Officer).

Respondents did not have an opportunity to depose the person who created it. To consider the Shipment Chart as any type of evidence at all would be a manifest error and a miscarriage of justice.

Additionally, the Shipment Chart contains patent errors. For example, row 302 purports to demonstrate that Respondents charged TPG \$2,090.24 for demurrage in connection with container number BEAU5787909, and that Respondents only provided proof of payment to a third party in the amount of \$858.00. (CAApp011020, row 302.) That invoice was issued on February 10, 2022. (*Id.*) Subsequently, TPG itself stated that it “received . . . demurrage [documents]” for this invoice, which is presumably why TPG paid the invoice. (See EPIC_0030546 (RApp357, sheet 1, row 208).) Another glaring example of such a patent error is row 515 of the Shipment Chart, which purports to demonstrate that Respondents charged TPG demurrage in the amount of \$5,469.26, but provided no proof of payment whatsoever. (*Id.* at 515.) This is entirely incorrect. TPG directs the Presiding Officer to review the document Bates labeled FMC_C40155, but another document, *produced by TPG itself*, clearly demonstrates that Respondents made a credit card payment of this charge that was passed through to TPG. (See FMC_C00042358 (CAApp0073638) (showing credit card payment by Epic for demurrage in the amount of \$5,207.82 on January 28, 2022).) There are other such examples; the “Shipment Chart” is replete with comparable errors and ambiguities. As a result, the Shipment Chart is not reliable. Indeed, it is not evidence at all.

Additionally, the spreadsheet that TPG produced during discovery purporting to establish its damages is wholly inconsistent with the damages TPG now claims as set forth in the Shipment Chart and “Damages Chart.”. (See FMC_C00045560 (RApp358).) That spreadsheet indicated that TPG believed it was entitled to only \$49,059 in supposed damages for chassis charges. (*Id.* at “summary” tab.) Now, TPG apparently believes it is entitled to an amount more than three

times greater--\$161,538.75. (See CApp011019; Opening Brief at 31.) Similarly, that spreadsheet indicated that TPG believed it was entitled \$123,006.25 in supposed damages for storage charges. (See FMC_C00045560 (Rapp358) at “summary” tab.) Now, TPG believes it is entitled to \$139,728.19 in storage charges. (See CApp011019; Opening Brief at 31.) How TPG arrived at the amounts it now claims is anyone’s guess because, again, Respondents were not afforded an opportunity to depose TPG about the same.

One further glaring hole in TPG’s damages theory is that TPG has not actually paid a significant portion of the charges for which it seeks reparations, which TPG fails to inform the Presiding Officer. (See Basiri Tr. (Sep. 15) at 49:6-10 (CApp010464) (“As of today, TPG’s stance is to require explanation before we can assess them as to whether it’s an obligation by TPG to pay these or not.”).) TPG has not paid any portion of the invoices identified in rows 752, 810, and 855-902 of its Shipment Chart. (RPFF at ¶ 99.) It simply lumps all charges—whether paid or not—into a single category. TPG cannot demonstrate any “actual injury” resulting from charges it has not paid. As a result, TPG is again outrageously trying to reap a wholly unjust windfall.

Ultimately, TPG’s failure to take a reasonable position with respect to its claimed damages is not only contrary to law but destroys the credibility of its arguments. In sum, TPG has failed to prove with reasonable certainty that it has been damaged.

C. Respondents are not Liable under OSRA-22 Because they Merely Passed Through Charges from Ocean Common Carriers, and Respondents are not Otherwise Responsible for the Charges.

“Sections 41102(d), 41104(a)(14), and 41104(a)(15) were created by OSRA and may only apply to invoices issued after June 16, 2022.” Docket No. 22-31, *Order on Motion to Amend Complaint and Motion to Dismiss* (February 24, 2023). TPG concedes as much. TPG argues, however, that none of the invoices issued after the effective date of OSRA 2022 include all information required by Section 41104(d)(2). (Opening Brief at 30.) TPG claims that this

“amounts to \$59,789.47 in improper charges.” (*Id.*) In support of that proposition, TPG cites only to CPFF ¶ 144, which incorporates TPG’s “Shipment Chart.” The Shipment Chart—which, again, itself is wholly unauthenticated and apparently created by an unknown person at an unknown time—shows only that \$24,337.26 demurrage charges were assessed to TPG after June 16, 2022. *See* CApp. Vol. VII, rows 855-902, Column Y Demurrage Charges. TPG also appears to include “detention” charges in the “demurrage” column in its Shipment Chart. *See id.* at row 900. The invoice associated with that row includes a \$410.00 charge for detention, yet TPG includes this amount in the “demurrage” column. Accordingly, the \$24,337.26 figure appears to represent charges for both demurrage and detention issued after June 16, 2022. Thus, it is yet again unclear how TPG is calculating its damages. OSRA 22, by its plain and unambiguous language, applies only to invoices “for demurrage or detention.” 46 U.S.C. § 41104(a)(15). TPG is not entitled to recover under OSRA 2022 for charges other than demurrage or detention, and it fails to establish any legal argument to the contrary.

Moreover, with respect to any amount of demurrage or detention charges issued after the effective date of OSRA 2022, Respondents are absolved of liability under OSRA 2022’s “Safe Harbor” provisions, which provides:

If a non-vessel operating common carrier passes through to the relevant shipper an invoice made by the ocean common carrier, and the Commission finds that the non-vessel operating common carrier is not otherwise responsible for the charge, then the ocean common carrier shall be subject to refunds or penalties pursuant to subsection (d)(1).

46 U.S.C. § 41104(e). Here, no genuine dispute exists that Respondents passed through charges from third parties, including common carriers and marine terminal operators. *See* RPFF ¶ 51. Each of the invoices issued after OSRA 2022’s effective date included as an attachment proof of payments to third parties for the invoiced charges. *See* CApp. Vol. Vol. VII, rows 855-902 and associated invoices. Further, because, as discussed above, TPG has not established that

Respondents are otherwise responsible for the charges, Respondents are entitled to the benefit of the safe harbor provision. Accordingly, TPG is not entitled to reparations for any alleged OSRA 2022 violation on the part of Respondents.

V. CONCLUSION

TPG offers thin gruel in support of its request to be awarded hundreds of thousands of dollars in reparations. TPG has taken an unreasonable position in its Opening Brief. It asks the Presiding Officer to award it reparations for charges that accrued due to TPG's and its customer's inaction, for charges over which the Commission has no jurisdiction, and for charges that it clearly agreed to pay. Now, TPG seeks a windfall in the form of a complete reimbursement of all detention, demurrage, chassis, and storage charges (as well as, amazingly, an award equal to amounts it has not yet paid). But Commission precedent does not support TPG's sweeping request for reparations. Most fatal to its claims, TPG fails to establish that any act or omission on the part of Respondents proximately caused its supposed damages. Simply put, TPG has not established and cannot establish its "actual injury" as required for an award of reparations under Commission precedent. Therefore, the Presiding Officer should not award any reparations. Instead, the Presiding Officer should dismiss TPG's Complaint.

Dated: March 25, 2023

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 25th day of March, 2024, a true and correct copy of the
foregoing was served via electronic mail on:

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